

Applying strategic analysis

The innovation compass can help you look at possible directions, but you also need to plan in ways that help you move ahead of your competitors. You can do this through a strategic analysis of your market situation, to see if your proposed innovations have the potential to give you an advantage.

Profiling your innovation

One way to do this involves profiling the planned innovations against what the market wants and what your best competitors can offer. Building such profiles step by step can provide a focus for shared discussion and bring in different perspectives from across the organization. Strategy is rarely about “right” answers—there’s too much uncertainty about innovation to make that possible. So you need to explore as widely as possible to get a “good” answer. Doing this well means collecting different views and information. More minds on the job improves your overall knowledge and helps build support for your decisions.

Winning market share



***Order qualifiers**
—factors that attract people to your product or service in the marketplace.



***Order winners**
—factors that determine whether people will buy your product or service.

In any marketplace, some basic requirements—“order qualifiers”^{*}—must be met just to stay in the game. If your prices are twice those of your direct competitor, you are unlikely to do much business. But when everyone offers the same price, what will differentiate your product is the something extra you offer—higher quality, more features, sleeker design. Order qualifiers are your entry into the marketplace, but order winners^{*} are what determine whether people buy from you or not. You need to have an idea of both: whether your planned innovation is simply catching up (basic order qualifier) or moving ahead (creating an order winner).